and structural programmes to improve their balance of payments positions and promote economic growth.

8.2.4. Achievements Of IMF

The main achievements of International Monetary Fund are as follows:

i) Establishment of monetary reserve fund

The Fund has played a major role in achieving the sizeable stock of the national currencies of different countries. To meet the foreign exchange requirements of the member nations, IMF uses its stock to help the member nations to meet foreign exchange requirements.

ii) Monetary discipline and cooperation

The IMF has shown keen interest in maintaining monetary discipline and cooperation among the member countries. To achieve this objective, it has provided assistance only to those countries which make sincere efforts to solve their problems.

iii) Special interest in the problems of UDCs

The notable success of the Fund is the maintenance of special interest in the acute problems of developing countries. The Fund has provided financial assistance to solve the balance of payment problem of UDCs. However, many UDCs continue to be UDCs, while the developed countries have achieved substantial growth.

8.2.5. India and IMF

Till 1970, India stood fifth in the Fund and it had the power to appoint a permanent Executive Director. India has been one of the major beneficiaries of the Fund assistance. It has been getting aid from the various Fund Agencies from time to time and has been regularly repaying its debt. India's current quota in the IMF is SDRs (Special Drawing Rights) 5,821.5 million, making it the 13th largest quota holding country at IMF with shareholdings of 2.44%. Besides receiving loans to meet deficit in its balance of payments, India has benefited in certain other respects from the membership of the Fund.

What is SDR?

- Fiat Money of the IMF
- A Potential Claim on Underlying Currency Basket

What Does SDR Stand For?

- Special Drawing Rights (SDR)

Why Was the SDR Created?

- To be "The" World Reserve Currency
- Create Global Liquidity

How is the SDR Valued?

- Original 1969 Creation

"The value of the SDR was initially defined as equivalent to 0.888671 grams of fine gold - which, at the time, was also equivalent to one U.S. dollar."

12-Economics-Chapter_8.indd 158 05-02-2020 12:00:26